

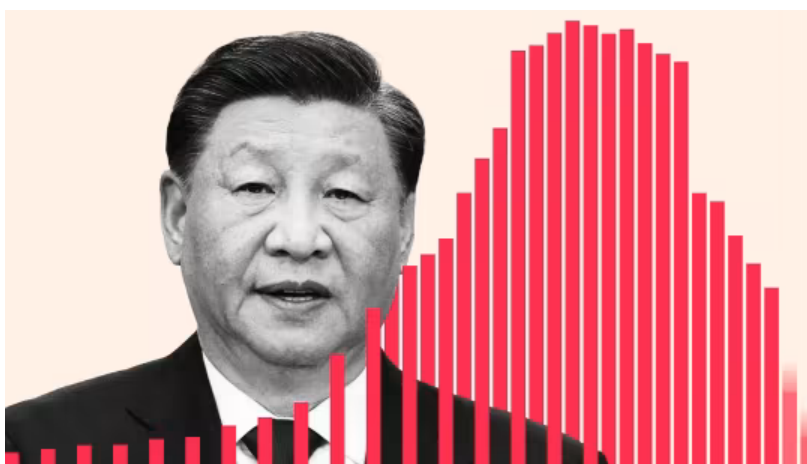
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China's GDP blackout isn't fooling anyone

There is diminishing faith in the few economic indicators that, after years of obfuscation, still see the light of day

JOHN BURN-MURDOCH

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John Burn-Murdoch OCTOBER 21 2022

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If you had paid a visit to China's National Bureau of Statistics in the days following Xi Jinping's election as general secretary of the Chinese Communist party in 2012, you would have found a cornucopia of economic data.

The number of people employed in the outdoor playground amusement equipment sector, natural gas exports from Guangdong to other provinces, the electricity balance of Inner Mongolia. You

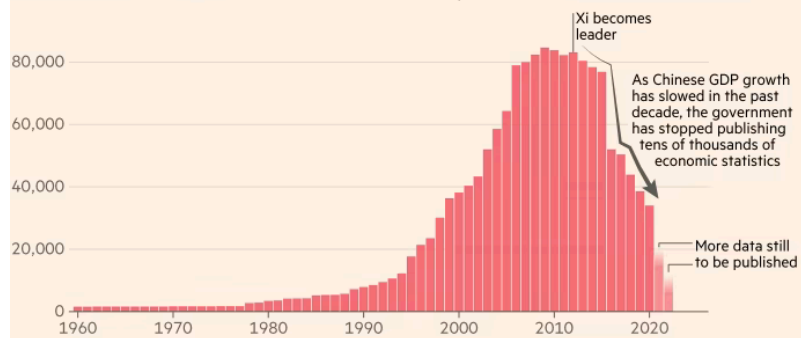
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name it, they published it, along with more than 80,000 other time series.

But just one year later, those three series and thousands more were no longer updated. Skip to 2016, and more than half of all indicators published by the national and municipal statistics bureaus had been quietly discontinued. The disappearances have been truly remarkable.

China is becoming much less transparent about its economic performance, quietly discontinuing thousands of statistical series

Annual number of economic indicators made available by China's National Bureau of Statistics



Source: FT analysis of CEIC; Chinese National Bureau of Statistics
FT graphic: John Burn-Murdoch / @burnmurdoch
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Viewed against this backdrop, [this week's decision to indefinitely delay](#) the publication of headline third-quarter indicators, including gross domestic product, looks less like a surprise: it continues a trend towards statistical opacity as China shifts from sustained high growth to more modest numbers. The blackout is just one of many signals that whatever number does finally emerge is unlikely to be high — and it may be treated with scepticism in any case.

Aside from the fact that one does not typically hide evidence of good performance, many of the more granular discontinued data series were previously used by analysts to check against China's headline indicators, frequently finding the GDP figures overstating performance. We are left with increasingly unconventional indicators to gauge China's current performance. It doesn't look good.

In striking recent research, Luis Martinez, an economist at the University of Chicago, used data on night-time light intensity from satellite imagery to show that Chinese GDP growth over the past 20 years may have been about a third slower than reported each year, leaving its economy significantly smaller than the US, rather than slightly larger.

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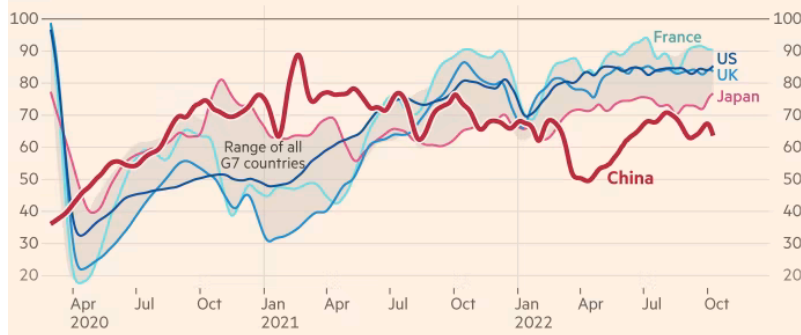
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China's continuing commitment to zero-Covid has taken it from one of the countries coping best with pandemic disruption to one of the worst

Level of activity relative to pre-pandemic baseline (%)



Sources: The Economist normalcy index, New York Federal Reserve Bank, Airportia
FT graphic: John Burn-Murdoch / @jburnmurdoch
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As for the [real-time indicators we have grown familiar with](#) during the pandemic, such as public transport use, road congestion and flight volumes, they offer a reason for China's GDP figure no-show. With almost one in five of its over-80s still unvaccinated, compared to about 7 per cent in the US and virtually zero in the UK, China's pursuit of zero-Covid is putting sustained downwards pressure on output. Closer to pre-pandemic activity levels than any other country in early 2021, China is now among the laggards, operating about a third lower than normal.

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Based on the relationship between previous, published Chinese GDP figures and data collected by the Economist, the Federal Reserve Bank of New York and flight-tracking site Airportia, I estimate that China's third-quarter growth figure will be about 3 per cent, significantly down on the 5.5 per cent target, and at the low end of recent forecasts. Apply Martinez's

satellite-based adjustment for exaggeration, and that becomes 2.7 per cent, just half of the target.

If reality falls so far short of expectations, we may see another swath of Chinese economic statistics vanish.

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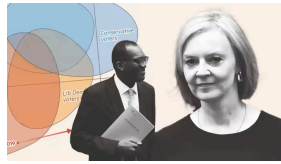
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— **jlc** 2 WEEKS AGO

But just one year later, those three series and thousands more were no longer updated. Skip to 2016, and more than half of all indicators published by the national and municipal statistics bureaus had been quietly discontinued. The disappearances have been truly remarkable.

Reminds me of the fed discontinuing the weekly M1 data series when it did this: <https://fred.stlouisfed.org/series/M1>. Since it was no longer considered useful. Of course paying attention to monetary aggregates a bit more would have saved the world - and the fed - a mountain of pain.

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— **Percy Pavilion** 2 WEEKS AGO

 In reply to **jlc**

As barking mad now as it was in 2010 or 1976. Ugh.

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— **JA** 3 WEEKS AGO

Can we have consistency in quoting statistics: ‘one in five unvaccinated in China compared with 7% in the United States’ in the same sentence.

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— **Amused from Hong Kong** 2 WEEKS AGO

 In reply to **JA**

Correct - he should have referred to 1 in 14.3 to refer to the US. Consistency is all.

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— **Gone with the wind** 3 WEEKS AGO

China is the blackest of all black boxes and it's only getting worse. Ive been looking at this place for all most 2 decades and now throw my hands in the air and say I give up. It's time to forget China and go and do something else instead.

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— **Geologist** 3 WEEKS AGO (Edited)

China's economy adds a gdp the size of Australia every two years. China, communist or Martian, is real folks. Now sit down and think about what I just wrote for a second.

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— **Global Macro** 2 WEEKS AGO

↩ In reply to **Geologist**

Are you sure about that?

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— **JS** 3 WEEKS AGO

hokus pokus economy , I am not surprised. I wonder what markets would do if USA did not publish data.

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— **Max Bluestar** 3 WEEKS AGO

Given that the PRC has transitioned into an authoritarian dictatorship, I do not think anyone should pay heed to data disseminated by the Government. All Government communication is propaganda that seeks to promote stability and the retention of power.

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— **Dock Worker** 3 WEEKS AGO

A look at China's dependency ratios largely explains their economic decline. The same graph also indicates what is coming for the world as a whole - higher costs and therefore higher interest rates than in recent decades.

<https://www.unicef.cn/en/figure-115-dependency-ratio-19502100>

I can't see the benefit to China of invading Taiwan other than a brief puff of inconsequential political nationalism to burnish President Xi's fragile oversized ego. The USA maybe wiser to direct its attentions to other potential enemies.

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— **Max Bluestar** 3 WEEKS AGO

↩ In reply to **Dock Worker**

A callous view that may be correct or incredibly naive! Killing and/or enslaving the population of Taiwan is not the Dock Worker's problem - too bad for them!

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— **tda1moe** 3 WEEKS AGO

Under the Deng wing of the CCP, Chinese economic data at least a grain of truth in them. But under Xi, everything is a lie, just like with his buddy, Putin.

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— **df/dx** 3 WEEKS AGO

↩ In reply to **tdal1moe**

Also like the lies of the guy Xi channels, Mao.

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— **Simon Weil** 3 WEEKS AGO

"I estimate that China's third-quarter growth figure will be about 3 per cent, significantly down on the 5.5 per cent target, and at the low end of recent forecasts."

The problem I have with this is the way the GDP figure was pulled in the middle of the party congress. These big CCCP events are choreographed to the nth degree. So they would have been looking at the potential numbers to see if there was a problem there well before the conference.

So this isn't choreographed - indicating a lack of control, and perhaps panic. Which is the last thing the CCCP wants as a message at their party congress.

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— **Simon Weil** 3 WEEKS AGO

↩ In reply to **Simon Weil**

To state what is implicit above. If the GDP numbers are within the expected range, why react to them as if they're a nasty shock?

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— **The everything bubble** 3 WEEKS AGO

Of course, once you have finished building roads, railways, flats, etc... your economy starts to stagnate. Nothing new

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— **Jaws** 3 WEEKS AGO

"..Chinese GDP growth over the past 20 years may have been about a third slower than reported each year..."

The graph in the Economist on this topic showed that China, for 2021, had, in reality, probably a 50% lower growth rate than what it published.

<https://www.economist.com/graphic-detail/2022/09/29/a-study-of-lights-at-night-suggests-dictators-lie-about-economic-growth>

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— **Robert** 3 WEEKS AGO

I used to think that opacity in data in autocratic states drew a curtain over back rooms where the data were kept for ministers who needed to know, confidentially. Experience with the USSR/Russia has shown that when data become opaque or inaccessible, that is a good sign that they are becoming hopelessly muddled, and therefore completely unreliable, or simply not available at all, and you can't run a modern government without good data.

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— **Wenren** 3 WEEKS AGO

Not surprised at the CCP's continual lies, but do wonder if Chris W, ghyu and naoyb

have found each other on Tindr.

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— **Sathorn** 3 WEEKS AGO

In reply to **Wenren**

I activated the ignore button on them a long time ago.

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— **tis_but_a_scratch** 3 WEEKS AGO

We should be grateful, if China lifts restrictions and starts consuming 10% more oil they won't be the ones facing shortages

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— **Sixth** 3 WEEKS AGO

TBH, I think the Chinese government is not unhappy at all that people think the Chinese conomy is a disaster and won't take China very seriously as a threat. The Chinese government is always arguing that China is still poor and a developing country. But the US insists that China is rich....

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— **IWSO** 3 WEEKS AGO

Some great comments and exchanges of view. To be honest sometimes the influence of the CCP makes me want to tear my hair out so I thought I would get the job done properly by popping up to Manchester to visit the Chinese consulate

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— **Whitty** 3 WEEKS AGO

In reply to **IWSO**

Nicely done

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— **Sathorn** 3 WEEKS AGO

In reply to **Whitty**

The consul-general will do a nice job for you. But he may take off your scalp along with the hair. Don't be fooled by that cutesy beret.

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— **Litmus** 3 WEEKS AGO

One thing i am confused by with these "Chinese GDP is exaggerated" stories - which I've been reading for years and which generally seem quite plausible - is the compound impact implications. I.e. Surely we should be seeing unavoidably clear signs by now that China is a lot smaller than claimed given the lack in reality of the compounding effect of falsely high growth on each subsequent year. This would have to be covered off in ever more exaggerated reported annual growth wouldn't it?

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— **Hamlet2** 3 WEEKS AGO (Edited)

↩ In reply to **Litmus**

You just provided a plausible explanation for the missing numbers. The discrepancy between the official numbers and reality may just have become too big to hide. In the absence of official numbers we will soon get closer to the truth since global financial institutions like the IMF and the World Bank, for operational reasons, now will have to work out their own approximations for China.

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— **Days of our lives** 3 WEEKS AGO

↩ In reply to **Litmus**

I was wondering the same. And how big IS China then?

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— **Whitty** 3 WEEKS AGO

↩ In reply to **Days of our lives**

About twice as big as it was when it was half the size

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— **Irritated by almost everything** 3 WEEKS AGO (Edited)

Xi is to China what wokeness and religious fervor are to the US -- utter disaster.

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— **mratarl** 3 WEEKS AGO

↩ In reply to **Irritated by almost everything**

So few pragmatic centrists out there these days. Glad to see one here.

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— **NewBenFrank** 3 WEEKS AGO

It seems to me to be fooling the Chinese people and that is the intended audience.

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— **My_angst** 3 WEEKS AGO

Well it paints a story, openness to secretive

Always a reason governments want to hide something and it isn't to benefit the public

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